Business growth and objectives

Exam code: 9BS0

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Updated on 11 April 2025

Growth strategies

- **Digital transformation and platform expansion**
  - UK retailers and distributors have increasingly moved online to reach consumers through streaming, digital downloads and direct-to-consumer (D2C) platforms
    - **HMV** focuses on a vinyl-heavy product mix and event-based experiences in its stores, promoted through HMV Live
    - Its website is the number one online vinyl retailer in the UK
    - **Amazon.co.uk** allows customers to access purchased music on its Amazon Music subscription platform
  - Businesses like **Spotify** and **Apple Music** have invested heavily in developing their global presence
    - For example, Spotify is now active in over 180 countries
- **Mergers and takeovers**
  - UK-based indie labels are often acquired by larger distributors or labels
    - For example, **Warner Music Group** bought UK indie label 300 Entertainment and **Universal Music Group** regularly acquires rights to high-profile artist catalogues (e.g. Queen, Bob Dylan)
  - Mergers and takeovers increase the market share of record labels, strengthen their catalogues and give them more negotiating power with digital platforms such as Spotify
- **Vertical integration and diversification**
  - Record labels are increasingly involved in areas such as merchandise, ticketing and social media content production
    - For example, **Sony Music** and **Universal Music** have launched their own in-house branding and creative services to support artists
- **Niche market growth and localisation**
  - Growth has also come from the resurgence of niche products, especially **vinyl**.
  - The UK saw over **5.9 million vinyl records sold in 2023**, the highest in 30 years

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

rather than competing on price

Key business objectives

- **Increase in market share**
  - For global platforms like **Spotify**, growing the number of users (free and premium) is critical
    - In the UK, Spotify holds a leading share of the streaming market (around 58% in 2023)
  - Record labels aim to expand shelf space in major retailers such as HMV or increase artist placements on streaming playlists
- **Profitability and sustainable revenue**
  - Streaming offers recurring revenue through subscriptions but lower revenue per stream
  - Record stores look to increase profitability through bundling (album + event), exclusive vinyl releases and participation in events such as Record Store Day
- **Customer retention and brand loyalty**
  - Subscription models (e.g., Spotify Premium, Amazon Music) depend on customer retention
  - They invest in user experience such as personalised playlists and artist exclusives
  - Independents focus on loyalty through community events, knowledgeable staff and strong branding (e.g. Banquet Records' integration with local gigs)
- **Artist development and catalogue expansion**
  - Labels pursue growth by signing emerging artists and acquiring back catalogues
    - This fuels long-term streaming revenue and licensing potential, such as Netflix/TV deals
  - For example, **Beggars Group**, a UK indie label collective, invests heavily in long-term artist development over short-term hits

Help me understand

Challenges to growth

- Even though the music industry is growing, especially with streaming, there are still many problems that can make it harder for music businesses to grow
- These are some of the biggest challenges

Challenge	Explanation	Example
Too many competitors (market saturation)	• There are already lots of companies offering music in the UK, like Spotify, Apple	• Spotify is the most used music app in the UK • Smaller streaming

	• Most people who want to stream music already have an account, so companies are now fighting over the same customers • It's harder for new businesses to enter the market or for small firms to grow	compete
Changes in how music is consumed	• People don't buy CDs as much anymore and often listen to short clips on social media (like TikTok or Instagram Reels) • Younger listeners might hear just 15 seconds of a song before deciding if they like it • This means artists and music businesses must promote songs differently, and it's harder to keep fans' attention	• The song "Old Town Road" by Lil Nas X became famous on TikTok before it was played on radio or sold in shops
Artists not being paid fairly (low royalties)	• Musicians earn very little each time someone streams their song • Most of the money goes to the big platforms or record labels • This causes arguments in the industry, and some artists feel they	• A UK campaign called **Broken Record** is asking for artists to be paid more fairly from streaming • In 2022, the UK's Competition & Markets Authority announced a study into the structure of the music

Illegal downloading and stream ripping	• Even though more people use legal services like Spotify, some still use illegal websites to download or copy songs for free • This means the music business loses money and can't invest as much in new music or artists	• In the past, websites like LimeWire or Pirate Bay were very popular for free music downloads • Nowadays 'stream ripping' from YouTube is a significant problem
Harder for small shops to survive	• Independent record shops (like Gatefield Sounds or Spillers Records) have to compete with big online stores like Amazon • Rent, wages and bills are rising, and not all small shops can afford to keep going without local support	• In 2023, Faversham's Creekside Vinyl closed down because of rising costs and fewer customers after COVID-19

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